25901222 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026

Fourth SEMESTER

Skill Enhancement Course (SEC) - MG4SECECO200 - DIGITAL ECONOMY SKILLS FOR ENTERPRISE DEVELOPMENT

(2024 ADMISSION ONWARDS)

Duration: 1-hour **Maximum Marks: 35**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation (Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MCQs-Answer all questions

Each question carries **1** mark

1. Which economic benefit do digital platforms offer to consumers that also benefits businesses? [K] / [CO2

c). Greater price transparency and convenience

2. Digital business transformation differs from simple digitization because it focuses on:

a) Re-designing business strategies, processes, and value propositions using digital technologies. [U] / [CO1]

3. Which of the following best reflects productivity expansion through technology? [K]/[CO4]

d). Faster and accurate production processes

4. Which cost is transformed from capital expenditure (CapEx) to operational expenditure (OpEx) when using Office 365? [U] / [CO2]

c). Server purchase and maintenance

5.Network effects are present when: [An] / [CO1]

a). Value rises with more users

6. Algorithmic bias is an example of: [S] / [CO4]

d). Ethical and AI-related risk

7. Learning Management System contribute significantly to: [U] / [CO2]

d). All of the above

8. IoT devices improve operational efficiency by: [A] / [CO4]

a). Enabling real-time data monitoring

9. What is the primary purpose of Google Business Profile for enterprises? [U]/[CO2]

b) Improving local online visibility and customer engagement.

10. ONDC is significant for small businesses because it: [U]/[CO3]

b). Lowers entry barriers in digital commerce

11. Which of the following risks is unique to digital enterprises? [A]/[CO1]

a). Cybersecurity risks

12. Social media advertising is: [U]/[CO3]

b). Participatory and interactive

13. Meta platforms are mainly used for: [U] / [CO3]
b). Consumer-facing branding
14. Digital platforms create new forms of works such as: [U] / [CO2]
d). All of the above
15. An e-commerce platform mainly helps in: [An] / [CO3]
c). Managing products, orders, and payments

[1x15 = 15]

Part B

Short Answer Questions Answer any 5 questions
Each question carries 2 marks

16. How does analysis of user-based data help organizations improve user engagement and retention?

User-based data analysis helps organizations understand user behavior, preferences, and usage patterns. This enables them to personalize content, recommendations, and services for better user experience. By identifying drop-off points and engagement trends, organizations can improve features and reduce churn. As a result, users remain more satisfied, engaged, and loyal over time.

[S] / [CO1]

17. Bring out the significance of apps for small and medium enterprises. [C] / [CO3]

Apps enable SMEs to reach a wider customer base beyond their physical location. They improve operational efficiency by supporting functions like sales, inventory, payments, and customer management. Apps also enhance customer engagement through personalized offers, notifications, and easy communication. So, SMEs can compete more effectively, reduce costs, and scale their business in the digital economy.

18. Explain the concept of digital rights with reference to privacy and data protection. [I]/[CO4]

Digital rights refer to the rights of individuals to access, use, and interact safely in the digital environment. In terms of privacy, they ensure that individuals have control over their personal information, including how it is collected, used, and shared. Data protection focuses on safeguarding this information through laws, security measures, and responsible handling by organizations. Digital rights promote trust, security, and accountability in the digital ecosystem.

19. Mention one benefit and one challenge associated with the platform economy. [A] / [CO1]

(Answer can be varied, based on benefits and challenges)

Benefit: The platform economy expands market access by connecting businesses and consumers easily, reducing transaction costs and increasing opportunities.

Challenge: It can lead to issues like job insecurity and lack of social protection for gig workers.

20. Point out key functions of control panel for a website [U] / [CO3]

File Management, domain management, database management, email management, ensuring digital security, application installation, performance monitoring etc.

21. Briefly explain the scope of digital economics in modern economic context. [U] / [CO1]

Digital economics studies how digital technologies like the internet, data, and platforms influence production, distribution, and consumption. Its scope includes areas such as e-commerce, digital payments, platform economy, fintech, and data-driven business models. It also examines issues like

network effects, digital competition, privacy, and regulation in the modern economy. Overall, digital economics helps understand how technology is transforming markets, businesses, and economic growth.

22. What is ecommerce payment gateways? [E] / [CO3]

An e-commerce payment gateway is a digital service that helps online businesses to accept payments securely from customers. It acts as an intermediary between the customer, the merchant, and the bank to process transactions. Payment gateways support methods like credit/debit cards, UPI, net banking, and digital wallets.

23. Briefly mention the purpose of the DPDP Act, 2023. [S] / [CO4]

(Value liberally)

The Digital Personal Data Protection (DPDP) Act, 2023 aims to regulate the collection, processing, and storage of personal data in India. It seeks to protect individuals' privacy by giving them rights over their personal data and ensuring responsible data handling by organizations. The Act also establishes a legal framework for accountability, consent, and penalties in case of data misuse or breaches.

[2x5 = 10]

Part C

Short Essay Questions Answer any 2 questions

Each question carries 5 marks

24. Explain the importance of data literacy and digital literacy for entrepreneurs in the digital economy. [An] / [CO1]

Better decision-making, understanding customer behavior, improved efficiency, competitive advantage, effective digital marketing, risk management, innovation and growth, better financial management etc.

25. Critically examine productivity gains and labour market impacts of LLMs. [E] / [CO4]

(Value Liberally)

LLMs improve productivity by automating routine cognitive tasks such as writing, coding, data analysis, and customer support-reduce time and costs for firms, enabling faster decision-making and scaling of operations. **Critical examination:** Still, these gains are uneven, benefiting high-skill workers more and potentially widening inequality. In the labour market, LLMs may displace certain white-collar and entry-level jobs while transforming many others. At the same time, they can create new roles related to AI management, prompt engineering, and oversight. Overall, the impact is mixed in nature, offering productivity gains but also posing challenges of job displacement, skill mismatch, and the need for reskilling. Still, LLMs may give more gains compared to losses.

26. Discuss the role of major digital enterprise technologies in improving business performance. **[K] / [CO1]**

Major digital enterprise technologies such as cloud computing, big data analytics, and artificial intelligence helps business performance by improving efficiency and better decision-making. Cloud

computing reduces infrastructure costs and provides scalable resources for businesses. Big data analytics enables firms to extract insights from large datasets, helping in better strategic planning and customer understanding. AI automates processes, improves accuracy, and supports predictive analysis. Enterprise systems like ERP and CRM integrate business functions and improve coordination across departments. Overall, these technologies increase productivity, competitiveness, and innovation in modern businesses.

(The benefits may differ based on the technology concerned- so valuation should be flexible based on the technology suggested by the student.)

27. Discuss the cost advantages of digital enterprices while considering pricing decisions. [An] / [CO2]

Digital enterprises benefit from lower fixed costs by reducing the need for physical infrastructure and manual operations. They also experience near-zero marginal costs for reproducing digital products, enabling economies of scale. This cost structure allows firms to adopt flexible pricing strategies such as freemium, subscription, and dynamic pricing. Lower costs enable competitive pricing while maintaining profitability. Digital enterprises can also use data analytics to optimize pricing based on demand and user behavior. Overall, cost advantages enhance pricing efficiency and market competitiveness.

[5x2 = 10]

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